

Key Insights

1. Champions are driving most of the revenue

The **Champions** segment includes 942 customers, which is around **21.7% of the customer base**, but they contribute **64.6% of total revenue (\$5.74M)**. They also have a high average purchase frequency of **11.2 orders**, making them the most valuable customer group.

2. A large group of customers is at risk of becoming inactive

There are **661 At-Risk customers**, representing **15.2% of all customers** and around **\$824K in revenue**. Their average recency is about **151 days**, which suggests that many of these customers have not purchased recently.

3. Lost customers represent the largest customer segment

The **Lost** segment contains **1,074 customers (24.8%)**, the largest segment in the analysis. These customers have generated around **\$524K in historical revenue**, but their average recency is approximately **217 days** and they make only about **1.1 orders** on average.

4. Revenue is heavily dependent on high-value customers

The analysis shows a strong concentration of revenue among Champions. Although they make up only about one-fifth of the customer base, they generate nearly two-thirds of total revenue. This highlights the importance of retaining high-value customers.

5. Potential Loyalists provide an opportunity for growth

There are **511 Potential Loyalists (11.8%)**. These customers have purchased relatively recently but have lower purchase frequency. With the right engagement strategy, they could potentially be encouraged to purchase more frequently.

Recommendations

Customer Segment	Recommended Action
Champions	Retain them through loyalty rewards, personalized offers, and VIP benefits.
At-Risk	Target high-value customers with personalized win-back campaigns based on their previous purchases.
Lost	Use selective reactivation campaigns, focusing primarily on customers with meaningful historical value.
Potential Loyalists	Encourage repeat purchases through personalized product recommendations and limited-time offers.
Loyal Customers	Focus on increasing purchase frequency and cross-selling relevant products.

Key Business Recommendation

The main priority should be **retaining Champions and high-value At-Risk customers**.

For example, the dashboard shows that some At-Risk customers have generated significant historical revenue. Customer **15749** has a monetary value of approximately **\$44.5K**, while customer **15098** has approximately **\$39.9K**.

Instead of treating all 661 At-Risk customers equally, the business could prioritize customers based on their **monetary value and previous purchase frequency**. This would allow retention efforts to focus on customers where re-engagement could have a greater potential business impact.

“The analysis shows that Champions make up about 21.7% of customers but generate 64.6% of total revenue. At the same time, 661 customers are currently classified as At-Risk, representing around \$824K in revenue. Based on these findings, I would focus on retaining high-value Champions, prioritizing high-value At-Risk customers for win-back campaigns, and developing Potential Loyalists into more frequent customers.”